



This is an example of sideways market post the decline. We see that there are lots of crossovers between the +DI and -DI in this period. We see that there are many positive and negative false movements between the RSI. Whenever such a pattern arises when there are multiple crossovers in a very short period of time, we will avoid trading based on them even if the ADX is greater than 25. In this case, we see that the ADX is also lower than 25. This is how ADX protects us from sideways market in many ways. It protects us from taking the trade when the directional movement does not have momentum.